

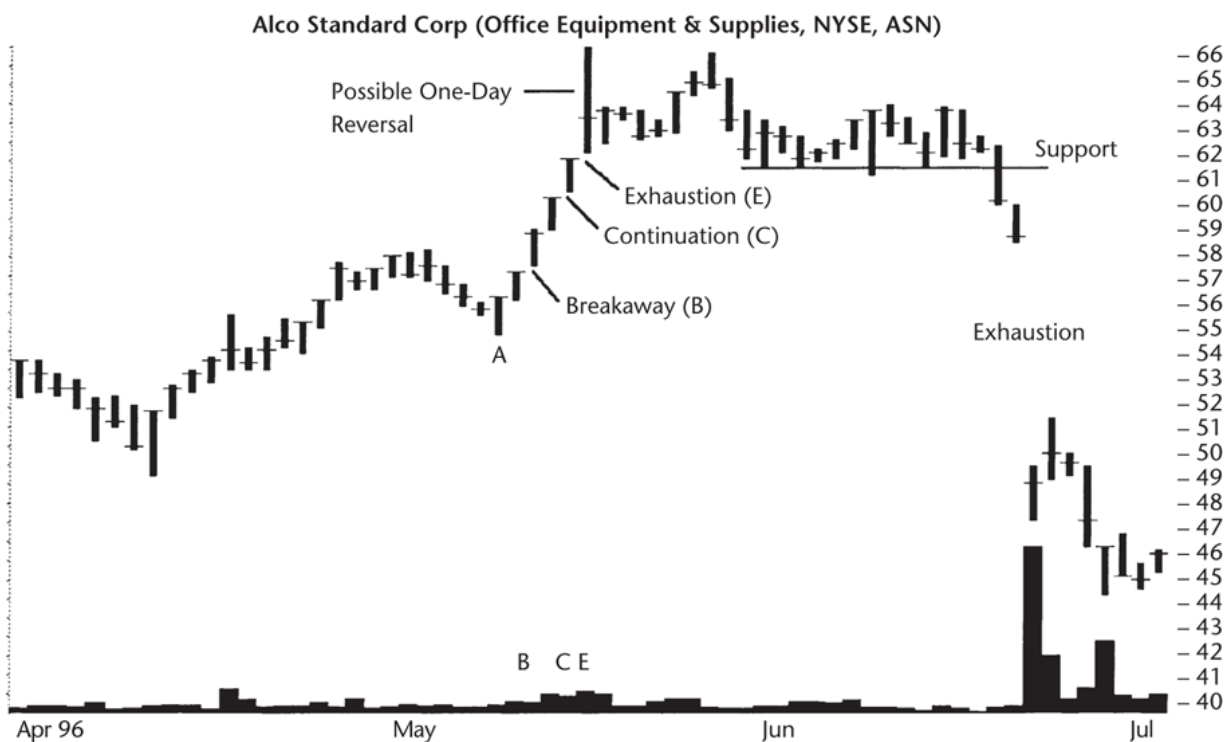


Figure 36.3 Gina bought the stock on the breakaway gap and sold it a few days later for a \$7,500 profit. Then she shorted the stock as the exhaustion gap turned into a dead-cat bounce.

With a focus on limiting her losses, she was growing confident that her trading style was one that would allow her to succeed in the markets, so she took the leap and decided to trade her system for real.

“I followed the stock for a long time and was both familiar and comfortable with the fundamentals of the company. When the breakaway gap occurred on 10 May, I was ready. I checked the identification guidelines.”

Volume was above average (although it may not be clear from the chart), and a new upward price trend seemed to be forming. “I called my broker and bought 1,000 shares at 58. Then I placed a stop-loss order at 57.00, or 13 cents below the lower gap rim just to be safe.”

If this turned out to be an area gap, she would probably be stopped out for a small loss. During her paper trading days, she discovered that most gaps provide near-term support or resistance, so she was confident that her stop would hold. [Notice that she placed her stop at a round number: 57.00. I'd probably put it at an odd number, like 56.93, so support at 57 would help reverse a decline before hitting her stop].